

Court No. - 17

Case :- WRIT - C No. - 1003604 of 2008

Petitioner :- U.P.Power Corp. Ltd. Through Executive Engineer

Respondent :- Ombudsmen 2/475 Vibhav Khand Gomti Nagar Lko.And 2 Ors.

Counsel for Petitioner :- Manoj Kumar Dwivedi

Counsel for Respondent :- I.B.Singh,Abhishek Kumar,Deepesh Tripathi

Hon'ble Shree Prakash Singh,J.

Sri Sanjay Singh, learned counsel for the respondent no.1 is present.

Sri Sanjay Singh, learned counsel representing respondent no.1 has pointed out that Sri Manoj Kumar Dwivedi, Advocate, who was earlier appearing for U.P. Power Corporation is no more Standing Counsel and now, Sri Sri Amarjeet Singh Rakhra is a counsel for U.P. Power Corporation (petitioner).

List/put up this case in the week commencing 16th May, 2022 showing the name of Sri Amarjeet Singh Rakhra, Advocate from the side of the petitioner as well as Sri Sanjay Singh, Advocate from the side of respondent no.1.

Order Date :- 12.4.2022

Ashutosh

Court No. - 25

Case :- WRIT - C No. - 1003604 of 2008

Petitioner :- U.P.Power Corp. Ltd. Through Executive Engineer

Respondent :- Ombudsmen 2/475 Vibhav Khand Gomti Nagar Lko.And 2 Ors.

Counsel for Petitioner :- Manoj Kumar Dwivedi,Amarjeet Singh Rakhra

Counsel for Respondent :- I.B.Singh,Abhishek Kumar,Deepesh

Tripathi,Sanjay Singh

Hon'ble Rajan Roy,J.

As prayed, list in 4th week of January, 2023.

[Rajan Roy, J.]

Order Date :- 19.12.2022

Santosh/-

Court No. - 3

Case :- WRIT - C No. - 1003604 of 2008

Petitioner :- U.P.Power Corp. Ltd. Through Executive Engineer

Respondent :- Ombudsmen 2/475 Vibhav Khand Gomti Nagar Lko.And 2 Ors.

Counsel for Petitioner :- Manoj Kumar Dwivedi,Amarjeet Singh Rakhra

Counsel for Respondent :- I.B.Singh,Abhishek Kumar,Deepesh

Tripathi,Sanjay Singh

Hon'ble Rajan Roy,J.

As prayed on behalf of Sri Amarjeet Singh Rakhra, learned counsel for the petitioner, list this case after two weeks to enable him to complete his records.

(Rajan Roy,J.)

Order Date :- 27.1.2023

Shanu/-

Court No. - 4

Case :- WRIT - C No. - 1003604 of 2008

Petitioner :- U.P.Power Corp. Ltd. Through Executive Engineer

Respondent :- Ombudsmen 2/475 Vibhav Khand Gomti Nagar Lko.And 2 Ors.

Counsel for Petitioner :- Manoj Kumar Dwivedi,Amarjeet Singh Rakhra

Counsel for Respondent :- I.B.Singh,Abhishek Kumar,Deepesh Tripathi,Sanjay Singh

Hon'ble Rajan Roy,J.

List this case on **14.03.2023** along with Writ-C No.1003603 of 2008.

(Rajan Roy,J.)

Order Date :- 21.2.2023

Shanu/-

Court No. - 4

Case :- WRIT - C No. - 1003604 of 2008

Petitioner :- U.P.Power Corp. Ltd. Through
Executive Engineer

Respondent :- Ombudsmen 2/475 Vibhav Khand
Gomti Nagar Lko.And 2 Ors.

Counsel for Petitioner :- Manoj Kumar
Dwivedi,Amarjeet Singh Rakhra

Counsel for Respondent :- I.B.Singh,Abhishek
Kumar,Deepesh Tripathi,Sanjay Singh

Hon'ble Mrs. Sangeeta Chandra,J.

List this case in the next week peremptorily.

Since the matter is old, it shall not be adjourned
on the next date of listing on any ground.

Whenever the case is next listed the name of Sri
Abhishek Mishra be shown instead of Sri Abhishek
Kumar in the cause list as appearing for the
respondents.

Order Date :- 14.3.2023
Darpan Sharma

Court No. - 4

Case :- WRIT - C No. - 1003604 of 2008

Petitioner :- U.P.Power Corp. Ltd. Through Executive Engineer

Respondent :- Ombudsmen 2/475 Vibhav Khand Gomti Nagar Lko.And 2 Ors.

Counsel for Petitioner :- Manoj Kumar Dwivedi,Amarjeet Singh Rakhra

Counsel for Respondent :- I.B.Singh,Abhishek Kumar,Abhishek Mishra,Deepesh Tripathi,Sanjay Singh

Hon'ble Mrs. Sangeeta Chandra,J.

1. Heard Sri Amarjeet Singh Rakhra, learned counsel appearing for the petitioner and Sri Sanjay Singh, learned counsel for the opposite party no.1- Ombudsman.

2. When the matter was taken up earlier, the name of the counsel for the contesting respondent no.3 was directed to be shown correctly as 'Sri Abhishek Mishra'.

3. Today, the name of Sri Abhishek Mishra has been correctly shown in the cause list as appearing for the respondent. However, he has not appeared to assist this Court.

4. Since the matter is of the year 2008, this Court has proceeded to hear the matter on merits.

5. The petitioner has challenged the impugned order dated 23.05.2008 passed by the Ombudsman.

6. It is the case of the petitioner that the respondent no.3-Ajay Kumar Bhall M/s Jai Ma Laxmi Timbers Products Mahevaganj, Lakhimpur Kheri, was having a saw mill unit for which required sanctioned load was given to him.

7. By means of an order dated 04.03.1997 passed in a P.I.L., the Supreme Court took cognizance of saw mills being run illegally in the State of Maharashtra and in the State of U.P. The Court, therefore, directed that all unlicensed saw mills, veneer and plywood industry in the aforesaid two States were to be closed forthwith. The State Governments were directed not to remove or relax the conditions for grant of permit /license for opening of any such saw mill or plywood industry. No fresh permission/license for the said purpose was also to be granted. The Supreme Court appointed a high-powered committee known as Central Empowered Committee to submit its report. The Central Empowered Committee reported functioning of 1607 saw mills, where recommendations for renewal of license

after 04.03.1997 had been made. The Supreme Court by its order dated 01.09.2006 accepted the recommendation of the Central Empowered Committee and also observed that running/functioning of such 1607 saw mills be suspended where licences have been renewed after 04.03.1997. In pursuance of such directions, the respondent no. 3- saw mill was shut down with effect from 22.09.2006. The Central Empowered Committee, after a detailed enquiry, submitted a report to the Supreme Court which was accepted by it on 15.05.2007 and it was provided that saw mills like that of respondent no. 3 be permitted to run on the basis of licence given by the State Level Committee. If there were any objections regarding grant of such license, the parties would be at liberty to submit a representation before the Central Empowered Committee for consideration.

8. After the order passed by the Supreme Court, the Divisional Forest Officer by his order dated 23.06.2007 allowed the respondent no.3 to run the saw mill with certain conditions. The opposite party no.3 approached the petitioner for re-energizing his electricity connection for the saw mill in question. However, it was informed to him by a letter dated 18.06.2007 by the Executive Engineer of the Distribution Division that minimum charges of Rs.3,32,676/- had to be paid for the period the saw mill did not operate. He should deposit such amount and only then his electricity connection can be re-energized. The respondent no.3 approached the High Court in a writ petition challenging such demand. The Court observed that there was a billing dispute and there is a specific clause, namely, Paragraph-6 of the Electricity Supply Code for deciding the same. The Court directed the petitioner to approach the Competent Authority. Instead of filing a complaint before the Consumer Grievance Redressal Forum, which is the Competent Authority, the respondent no.3 directly approached the respondent no.1- the Ombudsman. There is no provision given in the Regulations i.e. Consumers Grievance Redressal Forum and Ombudsman Rules, 2007 that any aggrieved person can directly approach the Ombudsman without first approaching the Consumers Grievance Redressal Forum. The complaint was registered as Appeal No.96 of 2008, although no order was under challenge of the Consumer Grievance Redressal Forum. In the said Appeal, a reply was filed by the petitioner mentioning therein that there is no provision in the Electricity Act as well as in the Electricity Supply Code for waiver of minimum charges for the period the supply of electricity remained closed.

9. The industrial unit to which such supply was being given, may have remained closed for any number of reasons, but the

liability of minimum charges cannot be waived off as per the provisions of Clause 3.8 and 3.9 of the Electricity Supply Code, 2005 as well as the prevailing Tariff Order. For realization of electricity charges, there are two modes of tariff fixed by the UP. Electricity Regulatory Commission. Firstly, 'fixed charges' i.e. minimum charges which had to be paid by the Consumer, whether he had consumed electricity or not, if a meter is installed at his premises. Secondly, it relates to per unit consumption of the consumers. This is for the reason that in case of some unavoidable circumstances, the actual consumption may not be metered on the basis of units consumed, correctly in the display of the electricity meter but the kilowatt load which is sanctioned, would still have to be paid i.e. the minimum charges.

10. Learned ombudsman sidestepped the argument made before him by referring to Section 57 of the Electricity Act, 2003 and Paragraph 7.7 of the Electricity Supply Code 2005, which was irrelevant for the purpose. He has quoted Section 57 of the Act which relates to Standards of Performance of licensee and says that the appropriate Commission after consultation with the licensee may specify Standards of Performance, and in case a licensee fails to meet the standards specified, without prejudice to any penalty, which may be imposed, or prosecution which may be initiated, he shall be liable to pay such compensation to the person affected, as may be determined by the appropriate Commission within 90 days of such determination.

11. Learned counsel for the petitioner has placed before this court Paragraph 7.7 of the Electricity Supply Code which mentions a standards of Customer service relating to supply of electricity, new connections, disconnections, re-connections and related matters, metering, billing, and transferring of ownership and conversion of services. A licensee has to ensure uninterrupted supply of electricity. In case he fails to do so for reasons beyond his control because of an act of God, however, it is not liable to pay compensation to the consumers.

12. The Ombudsman after referring to such paragraphs has stated that since the licensee is not required to pay compensation to the consumers for interruption of supply of electricity for reasons beyond its control, in the same manner, a consumer is not required to pay electricity charges in case there is no electricity consumed by him for reasons beyond his control. Such logic that has been applied in allowing the Appeal No.96 of 2008 is completely beyond the provisions of the Electricity Act 2003 and the Electricity Supply Code 2005. The

Ombudsman ought to have first looked in the matter where he could have directly entertained such appeal without there being any order passed by the Consumers Grievance Redressal Forum. After satisfying himself that he has jurisdiction in the matter, he should have looked into paragraph 3.8 and 3.9 of the Electricity Supply Code and the Tariff Orders, which provide that minimum monthly charges/fixed charges have to be announced by the Commission in accordance with Section 24 of the UP Electricity Reforms Act, 1999 consistent with the provisions of Electricity Act, 2003 and the licensee is entitled to decide other charges as mentioned in paragraph 3.8.

The licensee may also realize charges relating to other matters not specifically mentioned in the Tariff Orders with the prior approval of the Commission. The Tariff schedule has to be published on the website of the licensee and the consumers had to pay the charges accordingly. The minimum monthly charges as per the Tariff Order being settled, if the consumer i.e. the respondent no.3 was prevented from running his saw mill, he could have approached the Executive Engineer of the Distribution Division concerned for a permanent disconnection. As soon as the order passed by the Supreme Court was communicated to him by the Divisional Forest Officer for suspending operation of his saw mill. He did not ask for a permanent disconnection. The minimum monthly charges therefore had to be paid by him.

13. Since minimum monthly charges were a part of Tariff Order, notified by the Electricity Regulatory Commission, it was binding upon the licensee and the licensee could not have waived it only on the request made by the consumers. The respondent no.3 could have challenged the Tariff Order before the appropriate forum.

14. This court has perused the orders impugned. It finds therefrom that there is no consideration at all of the Tariff Order or of the relevant provisions of the Electricity Act 2003 or the Electricity Supply Code 2005. The Tariff Order having been notified by the Electricity Regulatory Commission, it was binding upon the petitioners. The petitioners could not have been asked to ignore the same or act against the same.

15. In view of the law settled by Hon'ble Supreme Court, in the case of **Narinder Chand Hem Raj & Others Vs Lieutenant Governor, Administrator, Union Territory, Himachal Pradesh, 1971 AIR 2399**, no direction could have been issued against the provisions of the Act and the Code by the Ombudsman.

16. The order passed by the Ombudsman dated 23.05.2008 is set aside.

17. The writ petition stands ***allowed***.

Order Date :- 21.3.2023

Rahul